

**UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION**

**Interconnection of Large Loads to the
Interstate Transmission System**

Docket No. RM26-4-000

**REPLY COMMENTS OF ADVOCATES FOR CONSUMER REGULATED ELECTRICITY
IN SUPPORT OF THE COMMENTS OF TRAVIS FISHER OF THE CATO INSTITUTE**

Advocates for Consumer Regulated Electricity (“A4CRE”)¹ respectfully submits these reply comments in support of the comments filed by Travis Fisher² of the Cato Institute in this proceeding.

I. Identity of the Commenter and Interest in this Proceeding

A4CRE is an independent, non-partisan organization dedicated to enabling the creation and deployment of Consumer Regulated Electricity (“CRE”) utilities—privately financed, physically isolated electric systems that serve new, large loads without connecting to the existing bulk power system, without imposing costs or risks on existing utility customers, and without requiring state utility regulation.

A4CRE has participated directly in the development of CRE policy frameworks, including the nation’s first CRE statute in New Hampshire³, and regularly shares our work with state legislators, industrial customers, technology companies, and project developers regarding CRE policy design and regulatory classification.

Because CRE utilities are intentionally physically islanded and serve only identified, contractually bound large customers, their legal status depends on clear federal jurisdictional boundaries under the Federal Power Act (“FPA”) and Section 215. The Commission’s determination in this proceeding could either enable or unintentionally constrain the central model of CRE. Accordingly, A4CRE has a direct and substantial interest in the outcome of this docket.

¹ Advocates for Consumer Regulated Electricity is an informal association. You can learn more about us at <https://www.advocates4cre.org> or <https://www.linkedin.com/company/advocates-for-consumer-regulated-electricity/>.

² Mr. Fisher is a volunteer advisor to A4CRE.

³ https://www.wsj.com/opinion/new-hampshire-sparks-a-revolution-in-electricity-supply-dab10a8d?st=ijBeSK&reflink=desktopwebshare_permalink

II. Support for the Fisher Comments and Summary of Their Conclusions

The Fisher comments correctly describe the nature and purpose of CRE utilities. They accurately explain that:

1. CRE utilities are physically disconnected from the bulk power system and do not participate in interstate wholesale electricity markets.
2. CRE utilities are financed entirely with private capital and do not shift costs, risks, or reliability obligations to existing ratepayers.
3. CRE provides a parallel, voluntary path for meeting large-load demand—particularly data centers and industrial facilities—without burdening existing systems or requiring complex interconnection studies.
4. CRE can relieve pressure on transmission planning, interconnection queues, and regional resource adequacy by diverting large loads that would otherwise require significant system upgrades.

A4CRE supports these conclusions and agrees that the Commission should recognize the legal distinctiveness of islanded CRE utilities.

III. Physically Islanded CRE Utilities Are Not Jurisdictional Under Part II of the Federal Power Act

CRE utilities do not make wholesale sales in interstate commerce, do not transmit electricity in interstate commerce, and do not hold themselves out to serve the general public. Their service relationships are limited to specific contractual counterparties on fully intrastate, physically isolated networks.

Under the plain language of the FPA, such entities are not “public utilities” within the meaning of Part II. Historically, the Commission has not asserted jurisdiction over industrial or campus generation and distribution systems that lack electrical interconnection with the interstate grid and do not make wholesale sales in interstate commerce. CRE utilities align with this category.

A Commission statement confirming that such systems remain outside jurisdiction so long as they remain physically islanded from the bulk power system would be consistent with statutory text, Commission precedent, and longstanding practice.

IV. Physically Islanded CRE Utilities Fall Outside Section 215 Reliability Jurisdiction

Section 215 was enacted to protect the reliability of the interconnected bulk power system by preventing disturbances that could propagate across regional transmission networks. A physically isolated CRE system, by design, cannot cause such disturbances.

A4CRE agrees with the Fisher comments that the proper trigger for Section 215 applicability is physical interconnection, not voltage, size, or economic significance. A system with no physical tie to the bulk power system cannot materially affect that system's reliable operation.

A clear jurisdictional line would avoid unnecessary registration of islanded entities and allow NERC and the Commission to maintain focus where it is warranted—on interconnected facilities capable of causing cascading outages.

V. Recognizing the Non-Jurisdictional Status of Islanded CRE Utilities Supports Reliability and Reduces Cost Pressures

CRE utilities relieve the bulk power system of the obligation to plan for and serve very large loads. By allowing those loads to internalize their own costs and risks, CRE reduces upward pressure on transmission expansion, generation additions, and interconnection queues.

For existing ratepayers, CRE reduces the likelihood of cost-shifting associated with new large loads. For states, CRE provides an option for managing industrial growth without compromising system reliability or increasing ratepayer exposure.

These benefits align with the objectives of this proceeding, which include improving timely and non-discriminatory access to power for large loads without compromising the reliability of the bulk power system.

VI. Recommended Commission Actions

A4CRE respectfully recommends that the Commission:

1. Clarify that electricity systems which are physically islanded, serve only identified contractual customers, and do not engage in interstate wholesale sales are not public utilities under Part II of the FPA.
2. Clarify that Section 215 reliability jurisdiction applies only to systems physically interconnected with the bulk power system.

3. Confirm that any rules adopted in this proceeding apply only to entities that are interconnected with, or seeking service from, the bulk power system.
4. Recognize CRE utilities as a lawful, voluntary, non-jurisdictional path that can complement Commission-jurisdictional solutions to large-load interconnection challenges.

VII. Conclusion

A4CRE supports the comments submitted by Travis Fisher and encourages the Commission to adopt the clarifications described herein. Recognizing the non-jurisdictional status of physically islanded CRE utilities will provide regulatory certainty, support private investment, reduce pressure on the existing bulk power system, and help state and local governments manage rapid industrial and data-center growth without increasing costs to existing ratepayers.

Respectfully submitted,

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